**TENTATIVE RULINGS**

**DEPT CX102**

**Judge Layne H. Melzer**

**Court Reporters:** Official court reporters (i.e., court reporters employed by the Court) are **NOT** typically provided for law and motion matters in this department. If a party desires a record of a law and motion proceeding, it will be the party's responsibility to provide a court reporter. Parties must comply with the court's policy on the use of privately retained court reporters which can be found on the court's website at Court Reporter Services | Superior Court of California | County of Orange.

**Tentative rulings:** The court endeavors to post tentative rulings on the court's website in the morning, prior to the afternoon hearing. However, ongoing proceedings such as jury trials may prevent posting by that time. Tentative rulings may not be posted in every case. Please do not call the department for tentative rulings if tentative rulings have not been posted. The court will not entertain a request to continue a hearing or the filing of further documents once a tentative ruling has been posted.

**Submitting on tentative rulings:** If all counsel intend to submit on the tentative ruling and do not desire oral argument, please advise the Courtroom Clerk or Courtroom Attendant by calling (657) 622-5302. Please do not call the department unless all parties submit on the tentative ruling. If all sides submit on the tentative ruling and so advise the court, the tentative ruling shall become the court's final ruling and the prevailing party shall give notice of the ruling and prepare an order for the court's signature if appropriate under Cal. R. Ct. 3.1312.

**Non-appearances:** If nobody appears for the hearing and the court has not been notified that all parties submit on the tentative ruling, the court shall determine whether the matter is taken off calendar or the tentative ruling becomes the final ruling. The Court also might make a different order at the hearing. (*Lewis v. Fletcher Jones Motor Cars, Inc.* (2012) 205 Cal.App.4$^{th}$ 436, 442, fn. 1.)

**APPEARANCES:** Department CX102 conducts non-evidentiary proceedings, such as law and motion, remotely, by Zoom videoconference pursuant to CCP §367.75, California Rule of Court (CRC) 3.672 and Orange County Local Rule (OCLR) 375. All counsel and self-represented parties appearing for such hearings must check-in online through the Court's civil video appearance website at Civil Remote Hearings | Superior Court of California | County of Orange prior to the commencement of their hearing. Once the online check-in is completed, participants will be prompted to join the courtroom's Zoom hearing session. Participants will initially be directed to a virtual waiting room pending the start of their specific video hearing. Check-in instructions and instructional video are available on the website. The Court's "Appearance Procedures and Information--Civil Unlimited and Complex" ("Appearance Procedures") and "Guidelines for Remote Appearances" ("Guidelines") contained on the Court's website will be strictly enforced. Parties preferring to appear in-person for law and motion hearings may do so pursuant to CCP §367.75 and OCLR 375.

**PUBLIC ACCESS:** The courtroom remains open for all evidentiary and non-evidentiary proceedings.

**No filming, broadcasting, photography, or electronic recording is permitted of the video session pursuant to California Rules of Court, rule 1.150 and Orange County Superior Court rule 180.**

**TENTATIVE RULINGS**
**7/02/2026**
**02:00 PM**

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| **100** | **Hernanez vs. Santa Ana Country Club**<br><br>**2023-01335144** | **Final Accounting**<br><br>The settlement administrator, Atticus Administration, LLC, has confirmed that the distribution of the settlement funds has been completed and made in accordance with the terms of the settlement that were approved by the Court.<br><br>As Plaintiffs have shown that the administrator's work is complete, the Court's file may now be closed.<br><br>Plaintiffs are ordered to give notice of this ruling to Defendant. |
| **101** | **Ordona vs. First Class Nurses, Inc.**<br><br>**2021-01238237** | **Final Accounting**<br><br>The settlement administrator, ILYM Group, Inc., has confirmed that the distribution of the settlement funds has been completed and made in accordance with the terms of the settlement that were approved by the Court.<br><br>As Plaintiffs have shown that the administrator's work is complete, the Court's file may now be closed.<br><br>Plaintiffs are ordered to give notice of this ruling to Defendants. |
| **102** | **Andrawes Husary vs. Shahidi**<br><br>**2025-01487294** | **1. Motion to Appear Pro Hac Vice (as to Rona S. Li)**<br>**2. Motion to Appear Pro Hac Vice (as to Brian French)**<br><br>Specially Appearing Defendants John Shahidi; Nelk, Inc.; Metacard, LLC; Nelk USA, Inc.; and Kyle Forgeard's applications for pro hac vice admission of attorneys (1) Brian M. French and (2) Rona S. Li are GRANTED.<br><br>On or before the anniversary of the date of this order, if the attorneys remain counsel for the moving parties, the moving parties must pay an annual renewal fee of five hundred dollars ($500) for each attorney and each year that the attorney maintains pro hac vice status in this case. (Gov. Code, § 70617, subd. (e)(2).)<br><br>Moving parties shall provide notice. |

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| **103** | **Carrasco vs. Disney Destinations, LLC**<br><br>**2025-01534410** | **Motion to Appear Pro Hac Vice**<br><br>Defendants Disney Destinations, LLC; The Walt Disney Company; and Walt Disney Parks and Resorts U.S., Inc.'s application for pro hac vice admission of attorney Ryan Chabot is GRANTED.<br><br>On or before the anniversary of the date of this order, if this attorney remains counsel for the moving parties, the moving parties must pay an annual renewal fee of five hundred dollars ($500) for each year that the attorney maintains pro hac vice status in this case. (Gov. Code, § 70617, subd. (e)(2).)<br><br>Moving parties shall provide notice. |
| **104** | **Corelogic, Inc. vs. Underwriters at Lloyds Syndicate 4711 Asp Subscribing To Policy No. B0713medte2001034**<br><br>**2025-01521725** | **Motion to Appear Pro Hac Vice**<br><br>Plaintiffs' application for pro hac vice admission of attorney Timothy P. Law is GRANTED.<br><br>On or before the anniversary of the date of this order, if this attorney remains counsel for the moving parties, the moving parties must pay an annual renewal fee of five hundred dollars ($500) for each year that the attorney maintains pro hac vice status in this case. (Gov. Code, § 70617, subd. (e)(2).)<br><br>Moving parties shall provide notice. |
| **105** | **Medero vs. Norada Capital Management**<br><br>**2024-01445239** | **Motion to Appear Pro Hac Vice**<br><br>The unopposed application of Thomas Kimble for admission to appear Pro Hac Vice is GRANTED.<br><br>The supplemental documents demonstrate that all requirements of California Rules of Court, Rule 9.40 are satisfied. ROA 156, 158.<br><br>On or before the anniversary of the date of this order, if the attorney remains counsel for the moving parties, the moving parties must pay an annual renewal fee of five hundred dollars ($500) for each attorney and each year that the attorney maintains pro hac vice status in this case. (Gov. Code, § 70617, subd. (e)(2).)<br><br>Moving party is ordered to give notice and file proof of service within five (5) calendar days of this order. |

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| **106** | **Southern California Edison Company vs. California State Board of Equalization**<br><br>**2025-01534286** | **Demurrer to Answer of 19 County Defendants**<br><br>**OFF CALENDAR PER STIPULATION AND NOTICE OF WITHDRAWAL** |
| **107** | **Cyrus vs. FHP Capital Partners, LLC**<br><br>**2025-01465780** | **1. Motion to Compel Arbitration**<br>**2. Case Management Conference**<br><br>Defendant FPH Capital Partners, LLC's motion to compel arbitration is GRANTED. Plaintiff Carl Cyrus is ordered to arbitrate his individual claims. The class claims are dismissed without prejudice. This case is otherwise STAYED pending completion of arbitration.<br><br>**An ADR Review Hearing is scheduled for March 4, 2027 at 9:30AM.** The parties must file a Joint Status Report at least 16 court days before the hearing and may request a continuance if arbitration is not yet complete.<br><br>**Existence of Arbitration Agreement**<br><br>The right to arbitration depends upon contract; a petition to compel arbitration is simply a suit in equity seeking specific performance of that contract. Little v. Pullman (2013) 219 Cal.App.4th 558, 565. The petitioner bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence, and a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense. Id.; Perry v. Thomas (1987) 482 U.S. 483, 492 n.9 (State law applicable to contracts generally governs whether a valid arbitration agreement exists.)<br><br>While the burden of persuasion is always on the moving party, the burden of production may shift in a three-step process. First, the moving party must present "prima facie evidence of a written agreement to arbitrate the controversy", which is satisfied by attaching a copy of the arbitration agreement purporting to bear the opposing party's signature. Gamboa v. Ne. Cmty. Clinic (2021) 72 Cal.App.5th 158, 164–67. At this step, a movant need not follow the normal procedures of document authentication. Condee v. Longwood Management Corp. (2001) 88 Cal.App.4th 215, 218-219.<br><br>If the moving party meets its initial burden, and the opposing party disputes the agreement, then the burden shifts to the opposing party to challenge the authenticity of the agreement.<br><br>Finally, if plaintiff presents evidence that no agreement exists, the burden shifts back to the moving party to present admissible evidence of a valid arbitration agreement between the parties by a preponderance of the evidence. Gamboa, supra, 72 Cal.App.5th at 164–67. |

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| | | Here, it is undisputed plaintiff signed the "Mutual Arbitration Agreement" (the "Agreement"). ROA 30 Ex. A. Accordingly, the court finds the parties formed an agreement to arbitrate.<br><br>**Delegation to the Arbitrator**<br><br>Under the FAA, which the parties do not dispute applies here, parties to an arbitration agreement may delegate the issue of enforceability to the arbitrator. See Rent-A-Center, West, Inc. v. Jackson (2010) 561 U.S. 63, 70-72. Such a delegation, however, must be "clear and unmistakable." Id. at 70 n.1.<br><br>Here, the Agreement provides, in pertinent part, that "[T]he Arbitrator, and not any federal, state, or local court, or agency, shall have exclusive authority to resolve any dispute relating to the validity, applicability, enforceability, unconscionability, or waiver of this Agreement." ROA 30 Ex. A ¶ 6(a). The Agreement (¶ 4) also expressly incorporates the AAA employment rules, which, consistent with the above, provide the "arbitrator shall have the power to rule on their own jurisdiction, including any objections with respect to the existence, scope, or validity of the arbitration agreement or the arbitrability of any claim or counterclaim." AAA Emp. Rule R-7(a). Accordingly, the court finds the Agreement for which specific performance is sought reflects the parties' clear and unmistakable intent to delegate "validity, applicability, enforceability, unconscionability, or waiver" questions "exclusively" to the arbitrator. ROA 30 Ex. A ¶ 6(a); id. ¶ 6(d) ("Other than the Class Action Waiver, the Arbitrator and not any federal, state, or local court, or agency, shall have exclusive authority to resolve any dispute relating to the interpretation, validity, applicability, enforceability, unconscionability, or waiver of this Agreement.").<br><br>As the Agreement's delegation clause is clear and unmistakable, it is enforceable unless it is revocable on state law grounds such as unconscionability. Rent-A-Center, supra, 561 U.S. at 72; Tiri v. Lucky Chances, Inc. (2014) 226 Cal. App. 4th 231, 243. "Unconscionability analysis begins with an inquiry into whether the contract is one of adhesion. [Citation.] 'The term [contract of adhesion] signifies a standardized contract, which, imposed and drafted by the party of superior bargaining strength, relegates to the subscribing party only the opportunity to adhere to the contract or reject it.' [Citation.] If the contract is adhesive, the court must then determine whether 'other factors are present which, under established legal rules—legislative or judicial—operate to render it [unenforceable].'" Armendariz v. Foundation Health Psychcare Services, Inc. (2000) 24 Cal.4th 83, 113. 113.<br><br>To declare an agreement unenforceable, a court must find both procedural and substantive unconscionability. Procedural unconscionability focuses on oppression or surprise due to unequal bargaining power; substantive unconscionability looks at overly harsh or one-sided results. Baltazar v. Forever 21, Inc. (2016) 62 Cal.4th 1237, 1243; see also OTO, L.L.C., supra, 8 Cal.5th at 129-30. "[T]he more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa." Armendariz, supra, 24 Cal.4th at 114. Plaintiff bears the burden to demonstrate that the arbitration agreement is procedurally and substantively unconscionable. |

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| | | Sanchez v. Carmax Auto Superstores California, LLC (2014) 224 Cal.App.4th 398, 402.<br><br>Plaintiff makes no argument the delegation clause itself (or the Agreement as a whole) is procedurally unconscionable in any way, nor would any argument have merit since the Agreement is expressly voluntary and employees have the ability to opt-out even after it is executed it. ROA 30 Ex. A at 1 ("The execution of this Agreement is not a condition of hire or employment by the Company and is entered by the parties voluntarily."); id. ¶ 13 ("Right to Opt-Out. Employee has the right to opt-out or cancel this Agreement and/or the Class Action Waiver at any time within thirty (30) days following the execution of this Agreement by Employee.") (emphasis in original).<br><br>Accordingly, plaintiff has not, as he must, shown any amount of procedural unconscionability specific to the delegation clause itself and the delegation provision is thus fully enforceable irrespective of any amount of substantive unconscionability, which plaintiff has also failed to show.<br><br>**Class and Representative Action Waiver**<br><br>Per the Agreement, the only remaining issue for the court to resolve is the enforceability of the class action and PAGA waiver. In pertinent part, The Agreement provides:<br><br>"Class and Collective Action Waiver. The parties agree that there is no right or authority for any Dispute to be brought, heard, or arbitrated as a class or collective action ('**Class Action Waiver**')…the portion of the Class Action Waiver that is enforceable shall be enforced in arbitration…[n]othing in this Section 9 or elsewhere in this Agreement shall be construed as a waiver by Employee of Employee's right to assert a representative claim under the Labor Code Private Attorneys General Act of 2004 (PAGA)." ROA 30 Ex. A ¶ 10 (emphasis in original).<br><br>The Agreement, further provides and, in no fewer than three separate provisions, that the court, and not the arbitrator, is to decide whether and to what extent the "Class Action Waiver is enforceable. ROA 30 Ex. A ¶ 6(a) ("Any dispute relating to the interpretation, validity, applicability, enforceability, unconscionability, or waiver of the Class Action Waiver may only be determined by a court of competent jurisdiction and not an arbitrator."); id. ¶ 6(d) ("Other than the Class Action Waiver, the Arbitrator…shall have exclusive authority to resolve any dispute…"); id. ¶ 10 ("Regardless of anything else in this Agreement or the AAA Rules, the enforceability, applicability and validity of the Class Action Waivers may be determined only by a court of competent jurisdiction and not by an Arbitrator.").<br><br>It is well settled that class action waivers are enforceable, as here, in arbitration agreements governed by the FAA. Epic Systems Corp. v. Lewis (2018) 138 S. Ct. 1612, 1616; Iskanian v. CLS Transportation Los Angeles, LLC (2014) 59 Cal. 4th 348, 364. In such cases, the class claims are dismissed without prejudice. Accordingly, plaintiff's class claims are dismissed without prejudice.<br><br>Per Viking River Cruises, Inc. v. Moriana (2022) 142 S. Ct. 1906, the FAA allows a PAGA claim to be split into individual and representative portions, which the Agreement provides. ROA 30 Ex. A ¶ 10 ("The parties mutually agree to bring any and every Dispute in arbitration on |

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| | | an individual basis only, and not as a class and/or collective action….Nothing in this Section [ ] or elsewhere in this Agreement shall be construed as a waiver by Employee of Employee's right to assert a representative claim under the Labor Code Private Attorneys General Act of 2004 (PAGA).”). Following Viking River, the California Supreme Court held “a plaintiff who files a PAGA action with individual and non-individual claims does not lose standing to litigate the non-individual claims in court simply because the individual claims have been ordered to arbitration.” Adolph v. Uber Technologies, Inc. (2023) 14 Cal. 5th 1104, 1125. In such cases, the representative PAGA claim should be stayed and the individual PAGA claim should be ordered to arbitration. Both the FAA and California law provide for a stay of proceedings pending arbitration, the case will be stayed. 9 U.S.C. § 3; C.C.P. § 1281.4.<br><br>Accordingly, the individual portion of plaintiff’s PAGA claim will be arbitrated, and the representative portion shall be stayed. Adolph, supra, 14 Cal. 5th at 1125.<br><br>**Waiver of Arbitration by Conduct**<br><br>Plaintiff’s argument that it is for the court to decide whether defendant waived arbitration by its conduct is at odds with multiple provisions of the Agreement, which unambiguously state the arbitrator has the exclusive authority to decide whether arbitration has been waived. ROA 30 Ex. A ¶¶ 6(a), (d). Additionally, plaintiff fails to support the argument with persuasive authority as none of the cases cited analyzed an agreement with an express jurisdictional provision that included “waiver,” as does the Agreement. See Opp. at 5-6. Indeed, even in the absence of the Agreement’s express language, relevant authority points in the opposite direction. See, e.g., BG Group PLC v. Republic of Argentina (2014) 572 U.S. 25, 34-35 (“courts presume that the parties intend arbitrators, not courts, to decide disputes about the meaning and application of particular procedural preconditions for the use of arbitration…[which] include claims of waiver…”).<br><br>**Condition Precedent**<br><br>Plaintiff argues defendant failed to satisfy a condition precedent of the Agreement, i.e., pre-arbitration mediation, and thus cannot compel arbitration. However, plaintiff provides no authority that this issue is for the court to decide, and the court finds the argument at odds with the Agreement’s delegation provision, which limits the court’s jurisdiction, as discussed above. Additionally, the Supreme Court has consistently held that arbitrators, and not courts, must decide whether a condition precedent to arbitrability has been fulfilled. See, e.g., BG Group PLC v. Republic of Argentina (2014) 572 U.S. 25, 34-35 (courts presume arbitrators decide “the satisfaction of…conditions precedent to an obligation to arbitrate”); John Wiley & Sons v. Livingston (1964) 376 U.S. 543, 557 (“whether grievance procedures or some part of them apply to a particular dispute, whether such procedures have been followed or excused, or whether the unexcused failure to follow them avoids the duty to arbitrate” should be decided by the arbitrator). Accordingly, whether mediation was a condition precedent to arbitration, and whether plaintiff has no duty to arbitrate because defendant “failed” to seek mediation before moving to compel arbitration, are issues to be decided by the arbitrator, not the court.<br><br>**Further Proceedings** |

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| | | Plaintiff is ordered to arbitrate his individual claims. The class claims are dismissed. All other issues have been delegated to the arbitrator and are thus preserved. This case is otherwise stayed pending completion of the arbitration.<br><br>Plaintiff to give notice, including to the LWDA. |
| **108** | **Duran vs. P.F.C. Enterprises, Inc.**<br><br>**2025-01525657** | **1. Motion to Compel Arbitration**<br>**2. Case Management Conference**<br><br>Defendant P.F.C. Enterprises, Inc. dba Allen Properties' motion to compel arbitration is GRANTED. Plaintiff Jose Duran is ordered to arbitrate his individual claims. The class claims are dismissed without prejudice. This case is otherwise STAYED pending completion of arbitration.<br><br>**An ADR Review Hearing is scheduled for March 4, 2027 at 9:30AM.** The parties must file a Joint Status Report at least 16 court days before the hearing and may request a continuance if arbitration is not yet complete.<br><br>**Existence of Arbitration Agreement**<br><br>The right to arbitration depends upon contract; a petition to compel arbitration is simply a suit in equity seeking specific performance of that contract. Little v. Pullman (2013) 219 Cal.App.4th 558, 565. The petitioner bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence, and a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense. Id.; Perry v. Thomas (1987) 482 U.S. 483, 492 n.9 (State law applicable to contracts generally governs whether a valid arbitration agreement exists.)<br><br>While the burden of persuasion is always on the moving party, the burden of production may shift in a three-step process. First, the moving party must present "prima facie evidence of a written agreement to arbitrate the controversy", which is satisfied by attaching a copy of the arbitration agreement purporting to bear the opposing party's signature. Gamboa v. Ne. Cmty. Clinic (2021) 72 Cal.App.5th 158, 164–67. At this step, a movant need not follow the normal procedures of document authentication. Condee v. Longwood Management Corp. (2001) 88 Cal.App.4th 215, 218-219.<br><br>If the moving party meets its initial burden, and the opposing party disputes the agreement, then the burden shifts to the opposing party to challenge the authenticity of the agreement.<br><br>Finally, if plaintiff presents evidence that no agreement exists, the burden shifts back to the moving party to present admissible evidence of a valid arbitration agreement between the parties by a preponderance of the evidence. Gamboa, supra, 72 Cal.App.5th at 164–67. |

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| | | Here, the "Arbitration Agreement" (the "Agreement") is presented as Exhibit 1 to the declaration of Sherry Ramirez, Human Resources Manager for defendant P.F.C. Enterprises, Inc. dba Allen Properties ("Allen"). ROA 16. The Agreement includes a cover memorandum that outlines the Agreement that follows. Id. ¶ 3 Ex. 1. Plaintiff signed and dated the cover memorandum and signed, dated, and initialed the Agreement on 01-24-2024. Id. Ms. Ramirez retrieved plaintiff's hand-signed and initialed Agreement from his personnel file. Id. On the day he was hired, Ms. Ramirez personally directed plaintiff to the conference room and presented him with his onboarding materials. Id. ¶ 5. This is sufficient to meet defendant's initial burden that an agreement to arbitrate exists.<br><br>While plaintiff purports to challenge formation of the Agreement, he provides no evidence or authority to support that challenge. As an initial matter, plaintiff relies largely on inapposite authorities which concern authentication of an electronic signature, which are not at issue here. Opp. at 6. Most importantly, plaintiff does not deny he signed the Agreement or that it bears his signature and initials. ROA 31. Accordingly, plaintiff has not presented sufficient evidence to shift the burden back to defendant to challenge formation. "If a party confronted with his or her handwritten signature on an arbitration agreement is unable to allege that the signature is inauthentic or forged, the fact that that person does not recall signing the agreement neither creates a factual dispute as to the signature's authenticity nor affords an independent basis to find that a contract was not formed." Iyere v. Wise Auto Group (2023) 87 Cal.App.5th 747, 755.<br><br>Accordingly, the court finds the parties formed an agreement to arbitrate.<br><br>**Applicability of the Federal Arbitration Act**<br><br>The Agreement expressly states "it shall be subject to the substantive and procedural provisions of the Federal Arbitration Act." ROA 16 Ex. 1 ¶ 12. Additionally, defendant provides evidence it is engaged in interstate commerce through its suppliers, marketing and advertising efforts, and out-of-state customers. ROA 16 ¶ 7. This is sufficient to find the FAA applies. Barrera v. Apple American Group LLC (2023) 95 Cal.App.5th 63, 76 ("The [Federal Arbitration Act] applies to contracts that involve interstate commerce (9 U.S.C. §§ 1, 2), but since arbitration is a matter of contract, the FAA also applies if it is so stated in the agreement."); see also Davis v. Shiekh Shoes, LLC (2022) 84 Cal.App.5th 956, 963 (same); Victrola 89, LLC v. Jaman Properties 8 LLC (2020) 46 Cal.App.5th 337, 355 ("the presence of interstate commerce is not the only manner under which the FAA may apply…[T]he parties may also voluntarily elect to have the FAA govern enforcement of the Agreement").<br><br>Plaintiff nonetheless challenges application of the FAA. Opp. at 7.<br><br>While it need not do so given the express contractual provision, defendant provides evidence its business involves interstate commerce, and it utilizes the instrumentalities of interstate commerce such as communication networks. Specifically, Allen "contracts for goods and services with vendors in states outside of California, and markets and advertises its residential property offerings to people residing outside of |

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| | | California. Allen Properties attracts residents from states outside of California to live in its offered properties." ROA 16 ¶ 7. This evidence is more than sufficient to find the FAA applies even in the absence of the express contractual provision. See, e.g., Citizens Bank v. Alafabco (2003) 539 U.S. 52, 56 ("We have interpreted the term 'involving commerce' in the FAA as the functional equivalent of the more familiar term 'affecting commerce'—words of art that ordinarily signal the broadest permissible exercise of Congress' Commerce Clause power."); Allied-Bruce Terminix Companies, Inc. v. Dobson (1995) 513 U.S. 265, 273 (The term "involving commerce" has been interpreted by the U.S. Supreme Court to be "broader than the often-found words of art 'in commerce,' . . . [and] cover more than 'only persons or activities within the flow of interstate commerce.'").<br><br>Accordingly, defendant has demonstrated its business, and, in turn, plaintiff's employment involved interstate commerce. Citizens Bank v. Alafabco, Inc. (2003) 539 U.S. 52, 57 (application of FAA requires only the aggregate economic activity to "bear on interstate commerce in a substantial way"). Plaintiff offers no evidence to dispute these facts. Additionally, the authorities plaintiff relies upon are inapposite. In both cases, the at-issue arbitration agreements, unlike here, did not expressly provide the FAA governed the agreement. Carbajal v. CWPSC, Inc. (2016) 245 Cal.App.4th 227; Hoover v. American Income Life Insurance Co. (2012) 206 Cal.App.4th 1193.<br><br>In sum, for the two independent reasons explained above, the FAA applies.<br><br>**Whether the Agreement Covers the Dispute and Relevant Terms**<br><br>The Agreement broadly applies to "all disputes, claims or controversies between the Parties…" ROA 16 Ex. 1 ¶ 3. The Agreement contains a "class, collective, and/or representative action waiver," which provides that all individual claims must be arbitrated, including individual PAGA claims, that class claims shall be dismissed, and any other claims stayed pending the outcome of arbitration. Id. ¶ 10. The Agreement further provides the court, and not the arbitrator, will determine the application of this waiver. Id. The Agreement also contains a severability provision providing for enforcement of all other provisions in the event any are deemed unenforceable. Id. ¶ 12.<br><br>**Unconscionability**<br><br>In OTO, L.L.C. v. Kho (2019) 8 Cal.5th 111, the California Supreme Court recognized that notwithstanding the strong public policy favoring arbitration, "'generally applicable contract defenses, such as . . . unconscionability, may be applied to invalidate arbitration agreements without contravening" the FAA' or California law." Id. at 125; accord AT&T Mobility LLC v. Concepcion (2011) 563 U.S. 333, 339.<br><br>"Unconscionability analysis begins with an inquiry into whether the contract is one of adhesion. [Citation.] 'The term [contract of adhesion] signifies a standardized contract, which, imposed and drafted by the party of superior bargaining strength, relegates to the subscribing party only the opportunity to adhere to the contract or reject it.' [Citation.] If the contract is adhesive, the court must then determine whether 'other factors are present which, under established legal rules—legislative or judicial—operate to render it [unenforceable].'" Armendariz v. |

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| | | Foundation Health Psychcare Services, Inc. (2000) 24 Cal.4th 83, 113. 113.<br><br>To declare an agreement unenforceable, a court must find both procedural and substantive unconscionability. Procedural unconscionability focuses on oppression or surprise due to unequal bargaining power; substantive unconscionability looks at overly harsh or one-sided results. Baltazar v. Forever 21, Inc. (2016) 62 Cal.4th 1237, 1243; see also OTO, L.L.C., supra, 8 Cal.5th at 129-30. "[T]he more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa." Armendariz, supra, 24 Cal.4th at 114. Plaintiff bears the burden to demonstrate that the arbitration agreement is procedurally and substantively unconscionable. Sanchez v. Carmax Auto Superstores California, LLC (2014) 224 Cal.App.4th 398, 402.<br><br><u>Procedural Unconscionability</u><br><br>Defendant concedes the Agreement is a contract of adhesion. However, while it is true virtually all "take it or leave it" contracts carry some degree of procedural unconscionability, that degree is presumptively low absent evidence the defendant actively interfered with plaintiff's ability to review and understand the arbitration clause. See Samaniego v. Empire Today, LLC (2012) 205 Cal.App.4th 1138, 1145 (procedural unconscionability presumptively low absent evidence the defendant actively interfered with plaintiff's ability to review and understand the arbitration clause).<br><br>Plaintiff fails to provide evidence defendant prevented him from understanding the Agreement. The Agreement is a standalone document and not overly long, technical, or complex and includes an introductory short memorandum which outlines the Agreement's relevant terms in basic English. ROA 16 Ex. 1. At any rate, it is generally immaterial whether it was explained, read, or understood. Randas v. YMCA of Metro. Los Angeles (1993) 17 Cal.App.4th 158, 163 ("one who accepts or signs an instrument, which on its face is a contract, is deemed to assent to all its terms, and cannot escape liability on the ground that he has not read it.").<br><br>While plaintiff argues his lack of English proficiency and the failure to provide a Spanish translation of the Agreement resulted in procedural unconscionability, the court disagrees. As an initial matter, there is no evidence defendant was aware of plaintiff's limited understanding of English. This distinguishes the sole authority plaintiff relies upon in which the employer knew the employee could not read English. Carmona v. Lincoln Millennium Car Wash, Inc. (2014) 226 Cal.App.4th 74, 85. Additionally, the employer in Carmona, selectively translated some of the agreement into Spanish, but left other provisions in English. Id. These "hidden" provisions thus created "surprise," resulting in procedural unconscionability. Id. at 84. Here, the Agreement was presented in English, and no similar surprise could occur. "Generally, a party may not avoid enforcement of an arbitration provision because the party has limited proficiency in the English language." Caballero v. Premier Care Simi Valley LLC (2021) 69 Cal. App. 5th 512, 518. "If a party does not speak or understand English sufficiently to comprehend a contract in English, it is incumbent upon the party to have it read or explained to him or her." Id. at 518-19. Plaintiff does not, for example, state he asked for a Spanish copy of any onboarding document and was denied, |

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| | | or that he asked any questions and answers refused, or that defendant otherwise prevented him from understanding the Agreement.<br><br>To the extent plaintiff complains he did not receive a copy of the applicable JAMS Employment Arbitration Rules & Procedures (the "JAMS Rules") which apply, that argument does not concern formation, but procedural unconscionability. ROA 16 Ex. 1 ¶ 4. However, the California Supreme Court has made clear that a failure to attach arbitration rules is relevant only where the rules which were allegedly hidden are substantively unconscionable. Baltazar v. Forever 21, Inc. (2016) 62 Cal.4th 1237, 1246. Plaintiff does not argue the JAMS Rules or any portion thereof, which govern the Agreement, are themselves substantively unconscionable and this argument fails.<br><br>Accordingly, the evidence, at most, demonstrates a low amount of procedural unconscionability based on the adhesive nature of the Agreement.<br><br><u>Substantive Unconscionability</u><br><br>Substantive unconscionability examines the fairness of a contract's terms to ensure that a contract of adhesion does not impose terms that are overly harsh, unduly oppressive, or unfairly one-sided. OTO, L.L.C. v. Kho (2019) 8 Cal.5th 111, 129-30. The court focuses on terms that unreasonably favor the more powerful party, impair the integrity of the bargaining process, contravene public interest or policy, or attempt to impermissibly alter fundamental legal duties. This includes unreasonable or harsh terms or ones that undermine the non-drafting party's reasonable expectations. Id. at 130.<br><br>Plaintiff argues the agreement is substantively unconscionable based on its "discovery caps" and while the section title also indicates a "conditional fee provision," plaintiff does not discuss any "fee" provision. Opp. at 7-8. Accordingly, the court will only address the Agreement's limitation on discovery.<br><br>Plaintiff argues the Agreement is substantively unconscionable based on a lack of adequate discovery, but the Agreement provides each party with up to 50 special interrogatories, 50 document requests, arbitrator-issued subpoenas, and up to three depositions per side, with a provision for additional depositions upon a showing of necessity. ROA 16 Ex. 1 ¶ 8. Plaintiff provides no authority this amount and/or type of discovery fails to meet minimum standards under Armendariz v. Foundation Health Psychcare Services, Inc. (2000) 24 Cal.4th 83. Moreover, an arbitrator's discretion as to the scope of discovery is not unconscionable. The JAMS Rules (¶ 17(b)) provide for the arbitrator's discretion to determine whether additional discovery is reasonably necessary. The California Supreme Court has found a similar provision giving ultimate deference to the arbitrator to order additional discovery as needed renders the discovery limitation valid and "eliminates any unconscionability." Ramirez v. Charter Communications, Inc. (2024) 16 Cal. 5th 478, 507.<br><br>Significantly, adequate discovery in arbitration does not equal unfettered discovery, and parties may agree to something less than what is available under the Code of Civil Procedure. Sanchez v. Carmax Auto Superstores Cal, LLC (2014) 224 Cal.App.4th 398, 404 (citing Armendariz v. Foundation Health Psycare Servs., Inc. (2000) 24 Cal.4th 83, 105-060). "[A]rbitration is meant to be a streamlined procedure. Limitations on discovery…is one of the ways streamlining is achieved." |

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| | | Dotson v. Amgen, Inc. (2010) 181 Cal.App.4th 975, 983. "In striking the appropriate balance between the desired simplicity of limited discovery and an employee's statutory rights, courts assess the amount of default discovery permitted under the arbitration agreement, the standard for obtaining additional discovery, and whether the plaintiffs have demonstrated that discovery limitations will prevent them from adequately arbitrating their statutory claims." De Leon v. Pinnacle Property Management Services, LLC (2021) 72 Cal.App.5th 476, 487. Plaintiff has made no such demonstration here.<br><br>Accordingly, because there is no apparent substantive unconscionability, the Agreement is enforceable without regard to the negligible amount of procedural unconscionability.<br><br>**Class and Representative Action Waiver**<br><br>It is well settled that class action waivers are enforceable, as here, in arbitration agreements governed by the FAA. Epic Systems Corp. v. Lewis (2018) 138 S. Ct. 1612, 1616; Iskanian v. CLS Transportation Los Angeles, LLC (2014) 59 Cal. 4th 348, 364. In such cases, the class claims are dismissed without prejudice. Accordingly, plaintiff's class claims are dismissed without prejudice.<br><br>Per Viking River Cruises, Inc. v. Moriana (2022) 142 S. Ct. 1906, the FAA allows a PAGA claim to be split into individual and representative portions, which the Agreement provides. ROA 16 Ex. 1 ¶ 10.<br><br>Following Viking River, the California Supreme Court held "a plaintiff who files a PAGA action with individual and non-individual claims does not lose standing to litigate the non-individual claims in court simply because the individual claims have been ordered to arbitration." Adolph v. Uber Technologies, Inc. (2023) 14 Cal. 5th 1104, 1125. In such cases, the representative PAGA claim should be stayed and the individual PAGA claim should be ordered to arbitration. Both the FAA and California law provide for a stay of proceedings pending arbitration. 9 U.S.C. § 3; C.C.P. § 1281.4. Accordingly, the individual portion of plaintiff's PAGA claim will be arbitrated, and the representative portion shall be stayed. Adolph, supra, 14 Cal. 5th at 1125.<br><br>**Waiver of Arbitration by Conduct**<br><br>Plaintiff provides no evidence to show defendant waived the right to arbitrate plaintiff's claims and the reason for the inclusion of this section, like many in the opposition brief, is entirely unclear. Opp. at 9-10.<br><br>Plaintiff to give notice, including to the LWDA. |

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| **109** | **Heslop vs. U-HAUL CO. OF CALIFORNIA**<br><br>**2025-01534773** | **1. Motion to Compel Arbitration**<br>**2. Case Management Conference**<br><br>Defendants U-Haul Co. of California and U-Hal Holding Company's motion to compel arbitration and dismiss Plaintiff Dixie Heslop's class claims is **GRANTED.**<br><br>Defendants' unopposed request for judicial notice is **GRANTED**. (Evid. Code, §§ 452, subd. (d), 453.) However, the decisions of other California Superior Courts are not binding on this Court.<br><br>As in the related class action, Plaintiff does not dispute that the subject arbitration agreement is governed by the Federal Arbitration Act (FAA); that she has refused arbitration; and that the 2012 arbitration agreement exists. Here, Plaintiff does not even contend that "the presence of the invalid PAGA waiver renders the entire [agreement] unenforceable" due to unconscionability, as Plaintiff contended in the related class action.<br><br>Instead, the sole issue presented by Plaintiff's opposition to the instant motion to compel arbitration of her individual PAGA claims is whether the parties ever agreed in the first place that a PAGA claim would be arbitrated.<br><br>**The Subject Agreement's Terms**<br>The subject agreement is comprised of (1) an "Employment Dispute Resolution Policy" ("EDR") and (2) an "Agreement to Arbitrate." (ROA #23, Exh. A [Agreement].)<br><br>The EDR provides, in relevant part:<br><br>The EDR . . . covers all disputes relating to or arising out of employment with U-Haul Co. of California or the termination of that employment. Examples of the type of disputes or claims covered by the EDR include, but are not limited to . . . wage or overtime claims or other claims under the Labor Code, or any other legal or equitable claims and causes of action recognized by local, state or federal law or regulations.<br><br>. . .<br><br>This mutual obligation to arbitrate claims means that both you and U-Haul are bound to use the EDR as the only means of resolving any employment-related disputes. This mutual agreement to arbitrate claims also means that both you and U-Haul forego any right either may have to a judge or jury trial on claims relating in any way to your employment. . . .<br><br>As permitted by applicable law, you and U-Haul also agree to forego and waive any right to bring an action as a private attorney general.<br><br>. . .<br><br>Also, the arbitrator or a court may sever any part of the EDR procedures that do not comport with the Federal Arbitration Act or applicable case law. |

(*Id.* at pp. 1-2.)

The Agreement to Arbitrate provides, in relevant part:

I agree that it is my obligation to make use of the EDR and to submit to final and binding arbitration any and all claims and disputes . . . that are related in any way to my employment or the termination of my employment with U-Haul Co. of California. I understand that, unless otherwise required by law or contract, final and binding arbitration will be the sole and exclusive remedy for any such claim or dispute against U-Haul Co. of California . . . ("U-Haul") . . . .

Unless otherwise prohibited by law, U-Haul and I additionally agree to forego and waive any right to bring an action or claim in a private attorney general capacity.

. . .

If a court or the arbitrator finds any provision of the EDR unenforceable, that provision may be severed without affecting this agreement to arbitrate.

(*Id.* at pp. 2-3.)

**Interpretation**
In its opening brief, Defendants simply contend that because the agreement to arbitrate broadly covers "all disputes relating to or arising out of employment . . . or termination of that employment," including "other claims under the Labor Code," the arbitration agreement covers Plaintiff's individual PAGA claims. (ROA #17 [Mot. P&A].)

In opposition, Plaintiff takes a much more nuanced approach to interpreting the agreement. In sum, Plaintiff contends that although the agreement broadly requires arbitration of employment disputes, the agreement also "separately addresses claims brought in a private-attorney-general capacity. Rather than requiring arbitration of such claims, the EDR states that the parties agree to 'forego and waive' any right to bring them. Thus, the only provision specifically directed at PAGA claims is an unenforceable waiver—not an agreement to arbitrate." (ROA #54 [Opp.], p. 1,)

Plaintiff characterizes Defendants' interpretation of the agreement as "ask[ing] the Court to take the invalid waiver, sever it, and then replace it with a new contractual term requiring arbitration of a category of claims the parties never agreed to arbitrate" in the first place. (*Id.*) Plaintiff's logic is as follows:

- Since the PAGA waiver is unenforceable, it should be severed (as the Court previously held in ruling on the motion to compel arbitration in the related class action). (*Id.* at p. 8.)

- "Severance may remove an unenforceable provision, but it cannot create a new agreement where none existed," as "courts may not 'rewrite agreements and impose terms to which neither party has agreed.'" (*Id.* at p. 1.)

- Therefore, after severing the PAGA waiver, Plaintiff "remains free to pursue PAGA," since "[n]othing in the EDR affirmatively states that a PAGA claim, or any component of one must proceed in arbitration." (*Id.* at p. 8.)

- The Court may not reform or rewrite the agreement to "insert[ ] a new provision stating that the employee-specific PAGA component shall be arbitrated," as that would not be "severance" but "augmentation." (*Id.*)

Plaintiff's argument lacks merit because even after severing the agreement's waiver of "any right to bring an action or claim in a private attorney general capacity" as an unenforceable PAGA waiver, the agreement nevertheless provides, as a starting point, that the parties will arbitrate "any and all claims and disputes . . . that are related in any way to [Plaintiff's] employment or the termination of [that] employment. . . ." (Agreement, pp. 2-3.) These claims "include, but are not limited to . . . claims under the Labor Code." (*Id.* at p. 1.) Thus, if PAGA claims are not completely waived, then they are subject to arbitration.

Plaintiff contends that the PAGA waiver "is not an agreement to arbitrate private-attorney-general claims. It is an attempted agreement not to bring them at all." (Opp. at p. 4.) But this argument improperly focuses on only the PAGA waiver and ignores the primary purpose of the agreement as a whole, which is an agreement to arbitrate any and all claims relating to Plaintiff's employment.

Plaintiff also relies on *Perez v. U-Haul Co. of California* (2016) 3 Cal.App.5th 408 to support her interpretation of the subject arbitration agreement, contending that in that case, "the Court of Appeal interpreted materially identical U-Haul arbitration language and held that PAGA claims fell outside the parties' agreed arbitral scope." (Opp. at p. 1.)

In *Perez*, the only relevant arbitration language that the court considered was as follows:

I agree that it is my obligation to ... submit to final and binding arbitration any and all claims and disputes ... that are related in any way to my employment.... [B]y agreeing to use arbitration to resolve my dispute, both U–Haul and I agree to ... forego any right to bring claims as a representative or as a member of a class or in a private attorney general capacity....

(*Perez*, *supra*, 3 Cal.App.5th at p. 413.)

In determining "whether the particular issue U-Haul seeks to arbitrate—plaintiffs' status as 'aggrieved employees' with standing to bring a PAGA claim—actually falls within the scope of the parties' employment agreement (*id.* at p. 419), the court reasoned and held as follows:

> In support of its assertion that plaintiffs agreed to arbitrate whether they had standing to bring a PAGA claim, U–Haul relies on a broadly-worded clause stating that the parties would arbitrate "any and all claims and disputes ... related in any way to [plaintiffs'] employment." U–Haul contends that because plaintiffs' standing to bring a PAGA claim involves issues related to their employment, the arbitration provision necessarily applies. The agreement, however, contains an additional clause stating that the parties would not seek arbitration (or litigation) of any "claims as a representative ... or in a private attorney general capacity." <u>U–Haul acknowledges</u> that this language demonstrates neither party agreed (nor could be compelled) to arbitrate representative claims. <u>Iskanian, in turn, held that every PAGA action, including one brought on behalf of a single employee, is a representative claim.</u> (*Iskanian*, *supra*, 59 Cal.4th at p. 387, 173 Cal.Rptr.3d 289, 327 P.3d 129 ["every PAGA action, whether seeking penalties for Labor Code violations as to only one aggrieved employee—the plaintiff bringing the action—or as to other employees as well, is a representative action on behalf of the state" (original italics) ].) <u>Given that the parties did not agree to arbitrate representative claims, and that a PAGA action is by definition a form of representative claim, we conclude that PAGA claims are categorically excluded from the arbitration agreement.</u> Moreover, the agreement contains no language suggesting that despite this exclusion of representative claims, the parties did agree to arbitrate whether the complaining party had standing to initiate a representative claim in court. We fail to see how an agreement that excludes representative claims can nonetheless be reasonably interpreted to require plaintiffs to arbitrate their standing to bring a representative claim.

(*Id.* at p. 420, underlining added.)

Plaintiff's reliance on *Perez* is misplaced, as *Perez* is distinguishable from the instant case for several reasons.

First, in *Perez*, U-Haul conceded that the waiver clause in that case demonstrated that the parties did not agree to arbitrate representative claims. But U-Haul has not made any such concession here, and in fact, points out that the language of the agreement at issue in *Perez* is different from the language used in the subject agreement in this case. (See Reply at pp. 4, 9-11.)

Second, *Perez*'s "holding" that the plaintiff's PAGA claims in that case fell outside the parties' agreed arbitral scope was based on that agreement's use of the term "representative" as well as the "holding" in *Iskanian v. CLS Transportation of Los Angeles* (2014) 59 Cal.4th 348, 387 that "every PAGA action, whether seeking penalties for Labor Code violations as to only one aggrieved employee—the plaintiff bringing the action—or as to other employees as well, is a representative action on behalf of the state."

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| | | (*Perez*, *supra*, at p. 420.) However, *Iskanian*'s confusing "use of the word 'representative' in two distinct ways'" was criticized by the United States Supreme Court in *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639:<br><br>> In the first sense, PAGA actions are "representative" in that they are brought by employees acting as representatives—that is, as agents or proxies—of the State. But PAGA claims are also called "representative" when they are predicated on code violations sustained by other employees. In the first sense, " 'every PAGA action is ... representative' " . . . because every PAGA claim is asserted in a representative capacity. But when the word "representative" is used in the second way, it makes sense to distinguish "individual" PAGA claims, which are premised on Labor Code violations actually sustained by the plaintiff, from "representative" (or perhaps quasi-representative) PAGA claims arising out of events involving other employees. For purposes of this opinion, we will use "individual PAGA claim" to refer to claims based on code violations suffered by the plaintiff. And we will endeavor to be clear about how we are using the term "representative."<br><br>> *Iskanian*'s principal rule prohibits waivers of "representative" PAGA claims in the first sense. That is, it prevents parties from waiving representative standing to bring PAGA claims in a judicial or arbitral forum. But *Iskanian* also adopted a secondary rule that invalidates agreements to separately arbitrate or litigate "individual PAGA claims for Labor Code violations that an employee suffered". . . .<br><br>> In this case, *Iskanian*'s principal prohibition required the lower courts to treat the representative-action waiver in the agreement between Moriana and Viking as invalid insofar as it was construed as a wholesale waiver of PAGA standing. The agreement's severability clause, however, allowed enforcement of any "portion" of the waiver that remained valid, so the agreement still would have permitted arbitration of Moriana's individual PAGA claim even if wholesale enforcement was impossible. But because California law prohibits division of a PAGA action into constituent claims, the state courts refused to compel arbitration of that claim as well. We granted certiorari, 595 U.S. ——, 142 S.Ct. 734, 211 L.Ed.2d 421 (2021), and now reverse.<br><br>(*Viking River Cruises*, *supra*, at pp. 648-649.) The Court ultimately held in *Viking River Cruises*:<br><br>> We hold that the FAA preempts the rule of *Iskanian* insofar as it precludes division of PAGA actions into individual and non-individual claims through an agreement to arbitrate. This holding compels reversal in this case. The agreement between Viking and Moriana purported to waive "representative" PAGA claims. Under *Iskanian*, this provision was invalid if construed as a wholesale waiver of PAGA claims. And under our holding, that aspect of |

> *Iskanian* is not preempted by the FAA, so the agreement remains invalid insofar as it is interpreted in that manner. But the severability clause in the agreement provides that if the waiver provision is invalid in some respect, any "portion" of the waiver that remains valid must still be "enforced in arbitration." Based on this clause, Viking was entitled to enforce the agreement insofar as it mandated arbitration of Moriana's individual PAGA claim. The lower courts refused to do so based on the rule that PAGA actions cannot be divided into individual and non-individual claims. Under our holding, that rule is preempted, so Viking is entitled to compel arbitration of Moriana's individual claim.

(*Id.* at p. 662.)

Accordingly, to the extent that *Perez*'s cited holding interpreting the agreement in that case was based on now-overruled portions of *Iskanian*, *Perez* is also no longer good law.

Third, and most importantly, either the agreement at issue in *Perez* did not contain or the *Perez* court did not consider the impact of a severability clause on the provision purporting to waive PAGA claims. Therefore, Plaintiff is incorrect that the subject language in the instant arbitration agreement is the "materially identical," "precise contractual language [that] has already been construed against U-Haul" in *Perez*. (Opp. at p. 1.) Here, not only does the subject agreement contain a severability clause, but the severability clause explicitly states that if "any provision of the EDR [is] unenforceable, that provision may be severed *without affecting this agreement to arbitrate*." (Agreement, p. 3, emphasis added.) Thus, the agreement here explicitly provides that severance of the unenforceable PAGA waiver provision in the subject agreement must be done in such a way that that does not affect the rest of the agreement to arbitrate any and all claims relating to Plaintiff's employment claims.

In this way, the subject agreement in the instant case is much more similar to the agreement analyzed by the Court in *Viking River Cruises*, which "contained a 'Class Action Waiver' providing that in any arbitral proceeding, the parties could not bring any dispute as a class, collective, or representative PAGA action. It also contained a severability clause specifying that if the waiver was found invalid, any class, collective, representative, or PAGA action would presumptively be litigated in court. But under that severability clause, if any 'portion' of the waiver remained valid, it would be 'enforced in arbitration.'" (*Viking River Cruises*, *supra*, at p. 647.) As noted above, the Supreme Court held that under this severability provision, the employer was entitled to enforce the arbitration agreement insofar as it mandated arbitration of the employee's individual PAGA claim. (*Id.* at p. 662.) Likewise, here, after severing the agreement's waiver of PAGA claims, the agreement must be construed as requiring arbitration of any and all claims relating to Plaintiff's employment, including Plaintiff's individual PAGA claim.

Plaintiff also relies on *Mondragon v. Sunrun, Inc.* (2024) 101 Cal.App.5th 592 for the proposition that "*Viking River* 'has nothing to say about whether

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| | | there was an agreement' to arbitrate the employee-specific component of a PAGA action." (Opp. at pp.1-2, quoting *Mondragon*, *supra*, at p. 613.) But the court in *Mondragon* found that this was so because the relevant language at issue in *Mondragon* was materially different from the language analyzed in *Viking River*. More specifically, the arbitration agreement in *Mondragon* defined "CLAIMS COVERED BY THIS AGREEMENT" as "any and all existing or future disputes or claims between or among [the parties] that arise out of or relate to Employee's ... employment," and then explicitly defined "CLAIMS NOT COVERED BY THIS AGREEMENT" as including "claims brought by Employee in state or federal court as a representative of the state of California as a private attorney general under the PAGA (to the extent applicable)." (*Mondragon*, *supra*, 101 Cal.App.5th at p. 599, internal quotes & bolding omitted.) As the *Mondragon* court explicitly stated:<br><br>> *Viking River* has nothing to say about whether there was an agreement to arbitrate Mondragon's individual PAGA claim. In *Viking River* the arbitration agreement had a broad provision requiring the employee to arbitrate all disputes arising out of her employment; it did not include a carve-out for PAGA claims like the agreement here. (See *Viking River*, *supra*, 596 U.S. at p. 647, 142 S.Ct. 1906.) The agreement in Viking River also included a provision waiving the employee's right to bring a PAGA action—again, unlike the agreement here. (*Ibid.*) The United States Supreme Court held that, although the latter provision remained unenforceable under *Iskanian* "if construed as a wholesale waiver of PAGA claims," the employer could still compel the employee to arbitrate her individual PAGA claims under the terms of the agreement. (*Id*. at p. 662, 142 S.Ct. 1906.) But nothing in *Viking River* suggests a party must arbitrate individual PAGA claims where, as here, the arbitration agreement specifically carves out PAGA claims and does not distinguish between individual and nonindividual claims.<br><br>(*Id.* at p. 613-614.)<br><br>Here, again, the relevant language of the arbitration agreement is much more similar to *Viking River* than to *Mondragon*, as PAGA claims are not explicitly carved out as "CLAIMS NOT COVERED BY THIS AGREEMENT." Therefore, Plaintiff's reliance on *Mondragon* to contend that Plaintiff's PAGA claim here is not covered at all by the agreement is misplaced.<br><br>Similarly, Plaintiff relies on *Ford v. The Silver F, Inc.* (2025) 110 Cal.App.5th 553 to contend that Plaintiff's claims here fall outside of the parties' agreed arbitral scope. (Opp. at p. 1.) But *Ford*, like *Mondragon*, also involved an arbitration provision that "expressly" stated that it "does not apply" to "representative claims under PAGA." (*Ford*, *supra*, at p. 558, internal quotes & brackets omitted.) Thus, *Ford*, like *Mondragon*, is distinguishable from the instant case, and *Ford*'s analysis of whether *Viking River* applies to the language in that case is also inapposite.<br><br>Plaintiff further relies on *LaCour v. Marshalls of CA, LLC* (2025) 117 Cal.App.5th 505 to contend that the parties' agreement must be construed |

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| | | based upon the parties' "intent . . . determined as of the time of formation." (Opp. at p. 7, also citing Civ. Code, § 1636.) Although Plaintiff "does not contend that *Viking River* lacks retroactive effect as a statement of federal law," Plaintiff nevertheless contends that because the parties here executed the operative arbitration agreement on October 3, 2012—approximately ten years before *Viking River Cruises* was decided, the parties could not have intended their agreement to include "the terminology of 'individual' and 'non-individual' PAGA claims for purposes of FAA preemption." (Opp. at p. 7.)<br><br>In *LaCour*, the court interpreted the following language in an arbitration agreement that the parties executed in March 2014:<br><br>> Among the provisions in the Arbitration Agreement is paragraph 5, a "Class Action, Collective Action, and Private Attorney General Waiver," which states in pertinent part: "[LaCour and Marshalls] agree to bring any dispute in arbitration on an individual basis only and not on a class, collective, or private attorney general representative action basis. [¶] ... [¶] (c) There will be no right or authority for any dispute to be brought, heard or arbitrated as a private attorney general representative action ('[PAGA Waiver]'). The [PAGA Waiver] shall be severable from this Agreement in any case in which a civil court of competent jurisdiction finds the [PAGA Waiver] is invalid, unenforceable, revocable, unconscionable, void or voidable. In such instances and where the claim is brought as a private attorney general claim, such private attorney general claim must be litigated in a civil court of competent jurisdiction." A concluding proviso to this provision, set off as an additional subparagraph applicable to the entire paragraph and all subparagraphs, states, "The ... [PAGA Waiver] shall be severable in any case in which the dispute is filed as an individual action and severance is necessary to ensure that the individual action proceeds in arbitration."<br><br>(*LaCour*, *supra*, 117 Cal.App.5th at p. 508.) The court held that because the severability clause stated that, when it is applied to sever the PAGA waiver, "such private attorney general claim must be litigated in a civil court," the provision states exactly what it means and cannot be interpreted to incorporate *Viking River Cruises*' later distinction between individual and non-individual PAGA claims such that only plaintiff's non-individual claims must be litigated in court while plaintiff's individual claims must be arbitrated. (*Id.* at pp. 521-522.) The *LaCour* court held that for it to interpret the agreement to require arbitration of plaintiff's individual PAGA claim while litigating in court plaintiff's non-individual PAGA claim, "the words in Paragraph 5(c) would have to read, '[i]n such instances, and where the claim is brought as a *non-individual* private attorney general claim, such private attorney general claim must be litigated in a civil court of competent jurisdiction'; and the Paragraph 5 proviso to have read, '... severance is necessary to ensure that the individual *PAGA* action proceeds in arbitration.'" (*Id.* at p. 511, italics original.) |

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| | | Here, again, the relevant language of the parties' arbitration agreement is materially different and contains none of the language analyzed by the court in *LaCour* to determine the parties' intent at the time of formation in that case. First, the PAGA waiver here includes limiting language (e.g., "[a]s permitted by applicable law" and "[u]nless otherwise prohibited by law"), whereas the PAGA waiver in *LaCour* did not. This language indicates intent to follow the law as it develops—including any differentiation between "individual" and "non-individual" PAGA claims. Second, unlike the severance clause in *LaCour*, the severance clause here does not explicitly state that if the PAGA waiver were severed, "such private attorney general claim must be litigated in a civil court." Instead, the agreement generally provides for arbitration of all employment-related claims and for waiver of PAGA claims only "[a]s permitted by applicable law" or "[u]nless otherwise prohibited by law," along with a severability clause providing that once a provision is severed, the remaining agreement is not to be affected. Read together, the intent of the parties is to require arbitration of all employment-related claims, while enforcing or prohibiting the PAGA waiver to the extent permitted by law—which, under *Viking Rivers*, means that while the PAGA waiver cannot be enforced as a wholesale waiver, the Court must enforce the parties' agreement to arbitrate any and all claims relating to Plaintiff's employment, including Plaintiff's individual PAGA claim. Therefore, *LaCour* also does not help Plaintiff.<br><br>**Conclusion**<br>In sum, the Court finds that the arbitration agreement is enforceable, except the PAGA waiver, which may be appropriately severed without affecting the rest of the agreement to arbitrate, which includes arbitrating any and all claims relating to Plaintiff's employment claim, including Plaintiff's individual PAGA claim.<br><br>Accordingly, Plaintiff is **ORDERED** to arbitrate her individual PAGA claim against Defendants. Plaintiff's non-individual PAGA claim is **STAYED** until the arbitration is had pursuant to Code of Civil Procedure section 1281.4.<br><br>**An ADR review hearing is scheduled for March 4, 2027 at 9:30AM in Department CX102.** The parties shall submit a joint status report 10 days in advance of the hearing.<br><br>Defendants shall give notice of this ruling. |

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| **110** | **Hernandez vs. Forman Automotive toO, LLC**<br><br>**2026-01539781** | **1. Motion to Compel Arbitration**<br>**2. Case Management Conference**<br><br>Defendant Forman Automotive TO, LLC's motion to compel arbitration of Plaintiff's individual claims and stay the remaining PAGA action is **GRANTED**.<br><br>As an initial matter, Plaintiff does not dispute that the subject arbitration agreement is governed by the Federal Arbitration Act (FAA); that he has refused arbitration; that the arbitration agreement exists; and that the arbitration agreement applies to his individual claims alleged in this action. Plaintiff also does not contend that, if the Court orders Plaintiff to arbitrate his individual claims, that his class claims should not be dismissed.<br><br>Instead, Plaintiff contends only the arbitration agreement is procedurally and substantively unconscionable. (See ROA #30 [Opp.], passim.)<br><br>Unconscionability has both a procedural and a substantive element: The procedural element focuses on the existence of "oppression or surprise due to unequal bargaining power," and the substantive element focuses on "overly harsh or one-sided results." (*Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 114, internal quotes omitted.) For unconscionability to render an agreement or clause unenforceable, both procedural and substantive unconscionability must be present—but "they need not be present in the same degree." (*Id.*) A "sliding scale" applies such that "the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa." (*Id.*)<br><br>The party opposing arbitration bears the burden of proving an unconscionability defense. (*Prima Donna Development Corp. v. Wells Fargo Bank, N.A.* (2019) 42 Cal.App.5th 22, 42.)<br><br>**A. Procedural Unconscionability**<br><br>"Procedural unconscionability concerns the manner in which the contract was negotiated and the circumstances of the parties at that time. It focuses on the factors of oppression and surprise. The oppression component arises from an inequality of bargaining power of the parties to the contract and an absence of real negotiation or a meaningful choice on the part of the weaker party." (*Kinney v. United HealthCare Services, Inc.* (1999) 70 Cal.App.4th 1322, 1329, internal quotes & citations omitted.)<br><br>**1. Contract of Adhesion**<br><br>Plaintiff contends that the agreement is a contract of adhesion because Defendant occupied a superior bargaining position; Plaintiff had no role in drafting the agreement and is less sophisticated; Plaintiff was not offered any opportunity to negotiate its terms and the agreement was a condition of employment; and Plaintiff was required to sign the agreement without the opportunity to review or ask questions. (Opp. at pp. 4-.) |

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| | | Where an arbitration agreement is "imposed on employees as a condition of employment and there was no opportunity to negotiate," there is "little dispute" that the arbitration agreement is "adhesive." (*Armendariz*, *supra*, 24 Cal.4th at pp. 114-115; *see also id.* at p. 113 [defining "contract of adhesion" as "a standardized contract, which[ is] imposed and drafted by the party of superior bargaining strength, relegates to the subscribing party only the opportunity to adhere to the contract or reject it"].)<br><br>However, "the adhesive nature of a contract is one factor the courts may consider in determining the degree of procedural unconscionability." (*Carmona v. Lincoln Millennium Car Wash, Inc.* (2014) 226 Cal.App.4th 74, 84, fn. 4.) Moreover, the "adhesive aspect of an agreement is not dispositive," as overall enforceability still depends on the "sliding scale" analysis of procedural and substantive unconscionability. (*Serpa v. Cal. Surety Investigations, Inc.* (2013) 215 Cal.App.4th 695, 704; see also *Graham v. Scissor-Tail, Inc.* (1981) 28 Cal.3d 807, 817 [contracts of adhesion are "an inevitable fact of life for all citizens"].)<br><br>Here, Plaintiff has shown a minimal degree of procedural unconscionability due to the adhesive nature of the agreement. Plaintiff claims that he was given the arbitration agreement by Defendant's Service Director, Mike Carter and that he had no opportunity to ask questions or review the agreement. (ROA #34 [Flavio Decl.], ¶¶ 4-9.) However, the Court finds more credible the declaration and supplemental declaration of Defendant's Human Resources Manager, Monica Silva (ROA #21, 44), along with the declaration of Carter (ROA #42). Based upon these declarations, the Court finds that Carter did not provide Plaintiff with the arbitration agreement as part of the compensation meeting Carter had with Plaintiff on 9/11/2023, but that instead, Silva provided Plaintiff with the arbitration agreement as part of Plaintiff's onboarding process on 9/13/2023. The Court also finds that Silva did not place time constraints upon Plaintiff's review or completion of the onboarding paperwork, including the arbitration agreement, and that Silva provided him with the opportunity to ask questions, but Plaintiff did not request additional time or ask questions.<br><br>In any case, the Court also finds that the agreement was a contract of adhesion in that Defendant occupied a superior bargaining position; Plaintiff had no role in drafting the agreement and is less sophisticated; and Plaintiff was not offered any opportunity to negotiate its terms and the agreement was a condition of employment. However, this only demonstrates a minimal decree of procedural unconscionability.<br><br>**2. Surprise**<br><br>Unfair surprise occurs when "the allegedly unconscionable provision is hidden within a prolix printed form." (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 126, internal quotes omitted.)<br><br>In Plaintiff's opposition brief, Plaintiff also contends that "the multiple corporate names increased procedural surprise." (Opp. at p. 5.) Plaintiff's brief contends that although the arbitration agreement identifies Plaintiff's employer as "United Toyota," emails from Silva came from a "United |

Nissan Imperial" domain, and Plaintiff's wage statements identify his employer as "Forman Automotive TO, LLC." (*Id.*) Accordingly, Plaintiff's opposition contends that "[t]he layering of multiple corporate names—without clarification in the Agreement itself—creates ambiguity that undermines meaningful assent." (*Id.* at p. 6.)

However, the only evidence Plaintiff has offered in support of this argument is Plaintiff's declaration, which, significantly, does not state that Plaintiff did not understand who his employer was or that the arbitration agreement governs his employment relationship with his employer. Instead, all the declaration states is:

- "I worked for Defendant from in or around December 2022 to in or around July 2025 in El Centro as a Service Advisor for the Nissan, Toyota and Kia dealerships." (Flavio Decl., ¶ 3.)
- "I received emails from Monica Silva from a 'united Nissan imperial' domain email address." (*Id.* at ¶ 12.)
- "My wage statements identified my employer as Forman Automotive TO, LLC." (*Id.* at ¶ 13.)

These statements do not demonstrate Plaintiff experienced any "procedural surprise" contemporaneously with his execution of the arbitration agreement. Instead, it tends to show Plaintiff understands that Defendant operates multiple dealerships, including both United Toyota and United Nissan Imperial, and Plaintiff worked for all of them.

Therefore, Plaintiff's "procedural surprise" argument also lacks merit.

**3. Failure to Specify Arbitrator and, by Extension, Failure to Identify or Attach Rules Governing Arbitration**

Finally, on procedural unconscionability, Plaintiff contends that he suffered oppression because the arbitration agreement "only provides that 'the Company and I will need to select an arbitrator by mutual agreement'" and "fails to clearly identify which rules will govern" and "fails to provide the applicable arbitration rules." (Opp. at pp. 6-7.)

This argument lacks merit. Plaintiff cites no authority to support his argument that an arbitration agreement is unconscionable because it provides for selection of an arbitrator by mutual agreement. If anything, such agreement is expressly permitted by law. (See, e.g., Code Civ. Proc. [CCP], §§ 1280, subd. (g) [defining "Neutral arbitration" to mean "an arbitrator who is (1) selected jointly by the parties . . ."], 1281.6 ["If the arbitration agreement provides a method of appointing an arbitrator, that method shall be followed. If the arbitration agreement does not provide a method for appointing an arbitrator, the parties to the agreement who seek arbitration and against whom arbitration is sought may agree on a method of appointing an arbitrator and that method shall be followed.")

Moreover, Plaintiff's reliance on *Carbajal v. CWPSC, Inc.* (2016) 245 Cal.App.4th 227 to support his position is misplaced. *Carbajal* did not hold that an arbitration agreement must specify in advance which arbitrator or arbitration agency must be appointed and specify which rules of the agency apply or attach the rules to the agreement. Instead, *Carbajal* held that where "*the arbitration provision required the parties to arbitrate their disputes under the American Arbitration Association's (AAA) rules*," the agreement is procedurally unconscionable because "the provision did not identify which of AAA's many different rules would apply, [the employer] failed to provide [the employee] with a copy of the rules it believed applied, and [the employer] required [the employee] to sign the agreement without telling her where she could find the governing rules or giving her an opportunity to determine which rules would apply." (*Id.* at pp. 233-234, emphasis added.)

Similarly, *Hasty v. American Automobile Assn. of Northern California, Nevada & Utah* (2023) 98 Cal.App.5th 1041, 1048, 1060-1061 also does not help Plaintiff because it involved an arbitration agreement specifying which rules would apply (i.e., JAMS's), but the agreement provided a hyperlink to the rules that did not appear to work. And *OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 126-127, cited by Plaintiff, does not address the issue of an agreement's failure to attach rules governing the arbitration.

In any case, as the *Carbajal* court acknowledged, even in situations where the agreement specifies which arbitration agency will be used, "'the failure to attach the AAA rules, *standing alone*, [was an] insufficient ground[ ] to support a finding of procedural unconscionability' . . . ." (*Carbajal*, *supra*, 245 Cal.App.4th at pp. 245-246, quoting *Peng v. First Republic Bank* (2013) 219 Cal.App.4th 1462, 1472, italics & brackets original in *Carbajal*.)

In sum, the Court finds only a minimal degree of procedural unconscionability due to the adhesive nature of the agreement.

**B. Substantive Unconscionability**

"Substantive unconscionability pertains to the fairness of an agreement's actual terms and to assessments of whether they are overly harsh or one-sided." (*Hayden v. Elegance at Dublin* (2023) 97 Cal.App.5th 1280, 1287, internal quotes omitted.) "[T]he central idea [is] that unconscionability doctrine is concerned not with a simple old-fashioned bad bargain, but with terms that are unreasonably favorable to the more powerful party." (*Sanchez v. Valencia Holding Co., LLC* (2015) 61 Cal.4th 899, 910-911, internal quotes & citations omitted [also confirming that "overly harsh," "unduly oppressive," "so one-sided as to shock the conscience," and "unfairly one sided" all point to this same "central idea"].) Unconscionable terms include those that "contravene the public interest or public policy" or "terms . . . that attempt to alter in an impermissible manner fundamental duties otherwise imposed by the law." (*Id.* at p. 911.)

"The paramount consideration in assessing conscionability is mutuality." (*Alberto v. Cambrian Homecare* (2023) 91 Cal.App.5th 482, 492, internal quotes, brackets, & ellipses omitted.) But "a contract can provide a margin of safety that provides the party with superior bargaining strength a type of extra protection for which it has a legitimate commercial need without being unconscionable." (*Sanchez*, *supra*, 61 Cal.4th at p. 912, internal quotes omitted, quoting *Armendariz*, *supra*, 24 Cal.4th at p. 117.) "[W]here no meaningful choice was exercised upon entering the contract, the test is whether the terms are so extreme as to appear unconscionable according to the mores and business practices of the time and place." (*Id.*, internal quotes omitted.)

**1. Overbroad Scope**

Citing *Cook v. University of Southern California* (2024) 102 Cal.App.5th 312, Plaintiff contends that the agreement is overbroad in scope because ¶ 3 of the agreement requires Plaintiff to arbitrate his *non-employment* claims against third parties. (Opp. at pp. 8-11.)

The instant agreement provides in ¶ 1 that Plaintiff and Defendant "agree to utilize binding individual arbitration to resolve all disputes that might arise out of or be related in any way to [Plaintiff's] application for employment and/or employment by [Defendant]." Then, ¶ 3 of the agreement states:

> My agreement to arbitrate claims against the Company includes claims I might bring against the Company's parent, subsidiaries affiliates, customers, or client entities as well as against owners, directors, officers, managers, employees, agents, contractors, attorneys, benefit plan administrators, and insurers of the Company or of its parent, subsidiaries, affiliates, customers, or client entities. I also agree to arbitrate claims pursuant to the terms of this Agreement against any person or entity I allege to be a joint employer with the Company as well as claims brought against staffing companies, employee leasing companies, professional employer organization or payroll processing vendors that the Company has utilized.

In *Cook*, the court explicitly noted that "[t]he concern here is not that the arbitration agreement provides ancillary benefits to third parties. The concern is that the agreement provides benefits to broad swaths of third party beneficiaries only in favor of USC without any showing of justification for this one-sided treatment." (*Cook*, *supra*, 102 Cal.App.5th at p. 327.) Specifically, the *Cook* court noted that that "[n]o explanation is offered as to why Cook should be required to give up the ability to ever bring claims in court against a USC employee that are unrelated to USC or her employment there." (*Id.* at p. 327.) Accordingly, *Cook* is inapplicable to arbitration agreements that are limited in scope to only employment-related disputes. (See *Cocom v. ABM Aviation, Inc.* (9th Cir. 2026) --- F.4th ----, 2026 WL 1793637, at *4 ["The [agreement[ here is limited to employment-related disputes, making this case distinguishable from *Cook* . . . ."].)

Plaintiff tacitly acknowledges that ¶ 1's limitation of the arbitration agreement to only employment-related claims differentiates the instant agreement from the one considered in *Cook*. (See Opp. at pp. 9-10.) Nevertheless, Plaintiff contends that ¶ 3 is not similarly limited to employment-related claims but instead provides that Plaintiff must arbitrate all claims—including non-employment-related claims—against the third parties. (*Id.* at pp. 9-11, distinguishing *Ayala-Ventura v. Super. Ct.* (2026) 119 Cal.App.5th 241.)

In reply, Defendant contends that "[a]t the outset," ¶ 1 of the agreement states that it applies only to employment-related claims, and "Paragraph 3 does not erase that threshold limitation. Its reference to owners, affiliates, employees, customers, agents, insurers, and alleged joint employers identifies additional persons or entities against whom covered employment-related claims must be arbitrated. It does not transform the Agreement into a lifetime obligation to arbitrate disputes having no connection to Plaintiff's application or employment." (ROA #40 [Reply], p. 8.)

Defendant has the better argument in interpreting the limited reach of ¶ 3. In the first sentence, ¶ 3 begins with "[m]y agreement to arbitrate claims against the Company," and those "claims" refer only to employment-related claims, as explained in ¶ 1. Then, the sentence continues by referencing "claims I might bring against [third parties]." Although neither mention of the generic word "claims" in this sentence explicitly states that the relevant claims are only employment-related claims, given that ¶ 3 begins by implicitly referencing the context provided by ¶ 1, the remainder of ¶ 3 should also be interpreted to apply only to claims related to Plaintiff's employment with Defendant. (See *Cocom, supra*, 2026 WL 1793637, at *6 [using "context of other [agreement] provisions" to interpret agreement as applying only to employment-related claims, as "[u]nder California law, other provisions from a contract may be used to shed light on ambiguous language"]; *E.M.M.I. Inc. v. Zurich American Insurance Co.* (2004) 32 Cal.4th 465, 475 [noting "the rule of contract interpretation that the same word used in an instrument is generally given the same meaning unless the policy indicates otherwise"].)

Interpreting ¶ 3 to apply to only employment-related claims also complies the California Supreme Court's application of Civil Code section 1643 in construing arbitration agreements such that "[w]here a contract is susceptible to two interpretations, one which renders it valid and the other which renders it void, a court should select the interpretation that makes the contract valid." (*Ramirez v. Charter Communications, Inc.* (2024) 16 Cal.5th 478, 507, also cited by *Ayala-Ventura*, *supra*, 119 Cal.App.5th at p. 256.) Although Civil Code section 1654 provides that "the language of a contract should be interpreted most strongly against the party who caused the uncertainty to exist," which in this case would be Defendant as the drafter of the agreement, Civil Code section 1654 expressly states that its rule applies only "[i]n cases of uncertainty not removed by the preceding rules," and section 1643 is a preceding rule. (*Ayala-Ventura*, *supra*, 119 Cal.App.5th at pp. 255-256.)

Accordingly, the Court finds that the agreement is not overbroad in scope because it does not provide for arbitration of Plaintiff's non-employment claims against Defendant or the third parties listed in ¶ 3.

**2. Lack of Mutuality**

Plaintiff also contends that the agreement "[l]acks [m]utuality" because "[i]n the face of the extensive list of **all** disputes and a vast list of 'covered entities[']  Defendant purports to bind Plaintiff, Defendant must only

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| | | arbitrate claims against the Plaintiff without binding any additional beneficiaries." (Opp. at p. 11, emphasis original.)<br><br>Plaintiff devotes all of 10 lines of his opposition to this argument and fails to adequately develop this argument by citing the exact language of the agreement that Plaintiff contends makes the agreement lack mutuality. (*Id.*; see also *Niko v. Foreman* (2006) 144 Cal.App.4th 344, 368 [rejecting party's arguments made "without supporting legal or factual analysis," and noting that it is not the court's function to "act as counsel for [a party] and furnish a legal argument" for that party]; *Craddock v. Kmart Corp.* (2001) 89 Cal.App.4th 1300, 1307 [refusing to consider argument "so poorly articulated" where party does not develop stated proposition].)<br><br>In any case, even if the agreement does contain some lack of mutuality as to arbitration of the third parties' claims against Plaintiff relating to Plaintiff's employment with Defendant, "*Cook* explicitly acknowledged that an arbitration agreement 'cannot be unconscionable simply because it provides benefits to third parties.'" (*Cocom*, *supra*, 2026 WL 1793637, at *7, quoting *Cook*, *supra*, 102 Cal.App.5th at p. 348.) Moreover, as the *Cocom* court explained:<br><br>> the lack of mutuality *Cook* found substantively unconscionable was predicated on the court's conclusion that the agreement applied to all claims, regardless of whether they were related to Cook's employment. Unlike the claims *Cook* found to be covered by the agreement, employment-related claims have an inherent asymmetry: an employee is far more likely to sue the employer and third parties––often many at a time, as Cocom has done here—rather than the other way around.<br><br>> *Ayala-Ventura* is once again instructive. The court there distinguished *Cook*'s mutuality analysis, finding the inclusion of third parties not substantively unconscionable because the agreement at issue limited third parties' ability to invoke the arbitration agreement "to claims against [the employer's] employees or agents in their capacity as such," meaning that "[a]ny claims Ayala-Ventura may have [had] against employees or agents unrelated to their role" were not covered by the agreement. The [agreement here] does not explicitly include the same express limitation, but the fact that the [agreement] is limited to employment-related claims achieves a similar result. Just as in *Ayala-Ventura*, claims Cocom may have against third parties "unrelated to their role" in ABM would not be covered by the MAA. *Id.* Because of the [agreement's] more limited scope, the lack-of-mutuality analysis here is much more similar to *Ayala-Ventura* than to *Cook*, and any lack of mutuality does not rise to the level of substantive unconscionability.<br><br>(*Cocom*, *supra*, 2026 WL 1793637, at *7.) |

### 3. Class and PAGA Waivers

Plaintiff also contends that the agreement's class and PAGA waivers are substantively unconscionable because, even though "[w]hen viewed in isolation, [the waivers] may track post-*Adolph* practice[,] . . . when considered in combination with the Agreement's sweeping scope, indefinite duration, and expansive coverage of affiliated entities, the class and representative waivers operate to significantly restrict the practical vindication of Labor Code rights." (Opp. at p. 12.) In short, Plaintiff does not contend that the agreement's class and PAGA waivers are illegal or unconscionable in and of itself, but rather, "the cumulative effect of compelling individual arbitration while foreclosing collective enforcement mechanisms contributes to the Agreement's one-sided and employer-favoring design." (*Id.*)

This argument lacks merit. As discussed above, the Agreement's scope is not overbroad in that it covers only employment-related claims. Plaintiff also made no arguments about indefinite duration, and in any case, given that agreement applies only to claims related to Plaintiff's employment, the default rule—that "arbitration agreements that do not specify a term of duration are terminable at will after a reasonable time has elapsed"—applies here, so the agreement is not of indefinite duration. (*Reigelsperger v. Siller* (2007) 40 Cal. 4th 574, 580.) Also as discussed above, Plaintiff also failed to adequately explain or develop his argument on lack of mutuality, and in any case, any purported lack of mutuality does not rise to the level of substantive unconscionability given the agreement's limited coverage of only employment-related claims.

In short, the Court finds that the agreement has only a minimal degree of procedural unconscionability and no substantive unconscionability. Therefore, the agreement is enforceable.

Accordingly, Plaintiff is **ORDERED t**o arbitrate his individual claims against Defendant, including Plaintiff's individual PAGA claim against Defendant.

## C. Plaintiff's Class Claims and Stay of Instant Action Pending Arbitration

Although Defendant's motion notes that the first 9 of Plaintiff's 10 causes of action against Defendant are brought on a class action basis, Defendant's motion requests that the Court "order arbitration of Plaintiff's individual claims, including his individual PAGA claim) and stay all proceedings in connection with the remaining PAGA claims pursuant to C.C.P. § 1281.4 and the language of the agreement itself." (Mot. at p. 4; see also *id.* at p. 2.) Defendant' request for relief does not address Plaintiff's class claims.

Here, the agreement includes a class waiver in ¶ 1, providing that Plaintiff "expressly waive[s] the right to bring a class, collective, or non-individual claim seeking any relief on behalf of others, unless such waiver is prohibited by controlling law." (See also Agreement, ¶ 4 ["I agree to waive any

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| | | substantive or procedural rights that I may have to bring or participate in an action brought on a class or collective basis"].)<br><br>Courts routinely dismiss class claims while ruling on a motion to compel arbitration when the arbitration agreement contains an enforceable class waiver. (See, e.g., *Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348, 361, 366; see also *Kinecta Alternative Financial Solutions, Inc. v. Super. Ct.* (2012) 205 Cal.App.4th 506, 510-511, 518-519 [dismissing class claims when an arbitration agreement governed by the FAA does not authorize class arbitration of disputes and the court orders arbitration of a plaintiff's individual claims].)<br><br>Therefore, Plaintiff's class claims against Defendant are hereby **DISMISSED**.<br><br>This action is **STAYED** until the arbitration is had pursuant to Code of Civil Procedure section 1281.4.<br><br>**An ADR review hearing is scheduled for March 4, 2027 at 9:30AM in Department CX102**. The parties shall submit a joint status report 10 days in advance of the hearing.<br><br>Defendant shall give notice of this ruling. |
| **112** | **Medicredit Wage and Hour Cases**<br><br>**JCCP 5269** | **1. Motion to Certify Class Certification (ROA 464)**<br>**2. Motion to Deny Class Certification (ROA 457)**<br>**3. Trial Setting Conference**<br><br>The Court has reviewed Plaintiff's amended revised proposed class notice (ROA #633 at Exh. A) submitted in response to the Court's 5/21/2026 minute order. The Court notes that the amended revised notice incorporates Defendants' edits. (*Id.* at p. 3.)<br><br>The Court **CONTINUES** the parties' cross-motions on class certification to **July, 23 2026 at 2:00 p.m. in Department CX102** and **ORDERS** Plaintiff to submit a further revised proposed class notice that addresses the deficiencies below.<br><br>To recap, at the last hearing on 5/21/2026, the Court ordered Plaintiff to submit a revised proposed class notice that "clearly and adequately explains to class members (1) the substance of the "inclusive dates" wage statement claim as to which class certification is being granted; (2) all the remedies available under Labor Code section 226(e)(1); (3) the limited recovery sought in this case; and (4) the resulting forfeiture of the right to seek greater actual damages if the class member does not opt out." (ROA #603.)<br><br>Plaintiff's amended revised class notice (ROA #633, Exh. A) does not adequately address these points.<br><br>1. As to "the substance of the 'inclusive dates' wage statement claim as to which class certification [has been] granted": |

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| | | • The revised class notice states in several places that the class definition is "a current or former non-exempt employee of Medicredit, Inc. and/or Parallon Revenue Cycle Services, Inc. in California and received a wage statement reflecting one or more 'BonRetOT' payments at any time from April 23, 2020 to May 21, 2026." (Not., passim.)<br><br>• But in § 3 ("What is this Class claim about?"), the description of the claim simply states:<br><br>> The Class claim is based on Plaintiff's allegation that Defendants violated the California Labor Code by issuing incomplete and inaccurate wage statements. Specifically, Plaintiff alleges that Defendants failed to include the necessary inclusive dates in wage statements when issuing retroactive true-up payments.<br><br>This description in § 3 does not adequately explain what "retroactive true-up payments" are; how such payments are related to the "one or more 'BonRetOT' payments" reflected on wage statements that is part of the class definition; or what "inclusive dates" means, including what Labor Code section 226 requires to appear on wage statements and what Plaintiff alleges Defendants did that violates section 226. Without such information, the notice does not clearly and adequately explain to class members what the claim is about so that each member can make an informed decision as to whether to remain in or opt out of the class, which includes being able to readily determine whether the class member has suffered any actual damages that they may wish to pursue instead of the statutory penalties.<br><br>2. As to "the limited recovery sought in this case," the revised notice does attempt to explain in several places that this lawsuit seeks only statutory penalties rather than actual damages—including in § 1 ("Your Legal Rights and Options"), § 3 ("What is this Class claim about?"), § 7 ("What happens if I do nothing?"), and § 8 ("Why would I ask to be excluded?"). However, the language used throughout these sections should be further revised to more clearly warn class members about the limited recovery sought in this case and the consequences of deciding to remain in the class versus opting out (i.e., "the resulting forfeiture of the right to seek greater actual damages if the class member does not opt out" as noted in the Court's 5/21/2026 order).<br><br>More specifically:<br><br>• In § 1 ("Your Legal Rights and Options," under the subsection on "Do Nothing," the revised note states:<br><br>> You can stay in this lawsuit and await the outcome but you give up certain rights. If you do nothing, you will be part of the Class and consent to allow Plaintiff Heins and her counsel to make decisions on your behalf, including how the action is conducted. As a Class Member, you will keep the possibility |

> of getting money or benefits that may come from a trial or settlement. But you will give up any rights to sue Defendants in a separate action about the same legal claims in this lawsuit. In addition, as explained in further detail below in Sections 3, 7, and 8, this lawsuit seeks to recover statutory monetary penalties rather than actual damages pursuant to California Labor Code section 22, subdivision (e)(1) for the alleged violations during the time period of April 23, 2020 to May 21, 2026 ("Class Period"). As part of the Class, you are agreeing to pursue statutory monetary penalties instead of actual damages under California Labor Code section 22, subdivision (e)(1) for alleged wage statement violations during the Class Period.

The words "rather than" should be bolded and italicized to better warn class members of the limited recovery sought in this case.

Also, the final sentence should be revised to state: "If you do nothing and remain part of the Class, you are agreeing to pursue ***only*** statutory penalties and will ***forfeit*** your right to seek actual damages under California Labor Code section 226, subdivision (e)(1) for the alleged wage statement violations during the Class Period."[1]

- In § 3 ("What is this Class claim about?"), the second paragraph states:

> Under California Labor Code section 22, subdivision (e)(1), the alleged wage statement violations may entitle an employee to recover the greater of their actual damages, ***or*** statutory penalties of fifty dollars ($50) for the initial pay period and one hundred dollars ($100) for each subsequent pay period, not to exceed an aggregate penalty of four thousand dollars ($4,000). In this lawsuit, Plaintiff is pursuing statutory penalties on behalf of the Class for violations during the Class Period.

(Emphasis original.)

The last sentence should be revised to state: "In this lawsuit, Plaintiff is pursuing ***only*** statutory penalties on behalf of the Class for violations during the Class Period. This means that ***even if*** a Class Member's actual damages are greater, the Class Member's recovery is ***limited to*** recovering statutory penalties, ***not*** actual damages."

- In § 7 ("What happens if I do nothing?"), the third paragraph states:

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[1] Notably, § 7 of the revised notice does use the word "forfeit" to explain the "actual damages" right that class members would be giving up: "In addition, because this lawsuit seeks statutory penalties rather than actual damages for alleged violations during the Class Period (April 23, 2020 to May 21, 2026), if you remain part of the Class, you ***forfeit*** any claim to your actual damages you may be entitled to for injuries suffered based on the alleged wage statement violations during the Class Period." (Emphasis added.) The revision of § 1 therefore simply makes the two sections' descriptions of class members' rights more consistent.

> In addition, because this lawsuit seeks statutory penalties rather than actual damages for alleged violations during the Class Period (April 23, 2020 to May 21, 2026), if you remain part of the Class, you forfeit any claim to your actual damages you may be entitled to for injuries suffered based on the
>
> alleged wage statement violations during the Class Period. To the extent you may desire to seek actual damages for injuries suffered before April 23, 2020, those claims are not part of the certified claim in this lawsuit, and will not be impacted by this lawsuit.

Again, "rather than" should be bolded and italicized.

Also, the last sentence is inaccurate in that it states class members' claims for actual damages "will not be impacted by this lawsuit." Instead, the last sentence should be revised to read: "To the extent you may desire to seek actual damages for injuries suffered before April 23, 2020, you should exclude yourself from the Class (see Sections 8 and 9 below for more information).

- In § 8 ("Why would I ask to be excluded?"), the first two paragraphs state:

> If you exclude yourself from the Class, you will not be part of the Class and will not receive any money or benefits if Plaintiff is successful in winning this case or if the Parties reach a settlement.
>
> However, if you exclude yourself, you may be able to sue Defendants in a separate case for the claims in this lawsuit. If you exclude yourself, you may be able to sue Defendants in a separate case for your actual damages for injuries suffered based on the alleged wage statement violations during the Class Period. If you exclude yourself, you will not be legally bound by any orders or judgments the Court makes in this case. If you bring your own lawsuit against Defendants after you exclude yourself, you may hire your own lawyer for that case and pursue your own claims.

The second sentence of the second paragraph should be revised to read: "If you exclude yourself, you may be able to sue Defendants in a separate case for statutory penalties ***or*** actual damages for injuries suffered based on the alleged wage statement violations during the Class Period."

- In the portion of the revised notice that appears to constitute a request for exclusion postcard/form, under the box for "I **DO NOT WANT** to participate in this class action," the proposed language states:

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| | | I understand that by checking this box I am requesting to be excluded from the class action, I will not be eligible to share in any benefit the Class may receive. I understand that I will retain any legal rights I may have against Defendants with regard to the claims that are asserted in this lawsuit. I understand that I will not be bound by the Court's rulings.<br><br>In the first sentence, the word "and" should be inserted between "action, I."<br><br>In the second sentence, the following phrase should be added to the end of the sentence: ", including the right to pursue statutory penalties ***or*** actual damages for injuries suffered based on the alleged wage statement violations during the Class Period."<br><br>• Also in the portion of the revised notice that appears to constitute a request for exclusion postcard/form, the final paragraph states:<br><br>If you fail to return this form by the deadline, you will remain a Class Member. You will be bound by the Court's rulings in the lawsuit, including any approved settlement or judgment. You will share in any benefit the Class may receive, but you will give up the right to sue Defendants on your own for the same legal claims asserted by the class in this lawsuit. Remaining a Class Member does not guarantee that you will receive any benefit or recovery from this lawsuit.<br><br>The third sentence should be revised to add the following phrase to the end of the sentence: ", including the right to sue Defendants for any actual damages you may be entitled to for injuries suffered based on the alleged wage statement violations during the Class Period."<br><br>3. Additionally, in § 6, the added definition of the class includes a typo: "current of former non-exempt employee" (emphasis added). The word "of" should say "or" instead.<br><br>Plaintiff's counsel must submit a further revised class notice, including both a clean version and a redline, addressing the above-listed issues no later than 16 court days prior to the continued hearing date. To expedite the Court's review of the further revised class notice, the parties should meet and confer before Plaintiff's submission to the Court. If the parties are unable to resolve any differences, Defendants shall file their objections no later than 9 court days prior to the continued hearing date.<br><br>Plaintiff shall give notice of this ruling. |

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| **113** | **People of the State of California vs. City of Los Angeles**<br><br>**2023-01353013** | **Motion for Summary Judgment and/or Adjudication**<br><br>Plaintiffs The People of the State of California and Great Basic Unified Air Pollution Control District's (collectively, "District") Motion for Summary Adjudication of Defendants' Affirmative Defenses; or in the Alternative, to Strike Those Defenses is **GRANTED IN PART and DENIED IN PART**.<br><br>As an initial matter, the Court notes that the District's operative complaint in this case, which appears at ROA #17, is incomplete in that it is missing all referenced exhibits. The Court **ORDERS** the District to file with the Court a new, complete copy of the operative complaint within 5 court days of this ruling.<br><br>As another initial matter, the Court notes that the District's reply brief was filed late. CCP section 437c, subdivision (b)(4) provides that a reply shall be served and filed "not less than 11 days preceding the noticed . . . date of hearing." Here, 11 calendar days before 7/2/2026 is Sunday, 6/21/2026. Therefore, the reply was due on the previous non-holiday day, which was Thursday, 6/18/2026 (since Friday, 6/19/2026 was a holiday). (CCP, §§ 12c, subd. ["Where any law requires an act to be performed no later than a specified number of days before a hearing date, the last day to perform that act shall be determined by counting backward from the hearing date. . ."], 12a, subd. (a) ["If the last day for the performance of any act provided or required by law to be performed within a specified period of time is a holiday, then that period is hereby extended to and including the next day that is not a holiday"].) However, Defendants have not objected to the late filing. Accordingly, the Court exercises its discretion to consider the District's late-filed reply. But the Court **ADMONISHES** the District to comply with all applicable rules and filing deadlines in the future.<br><br>"A party may move for summary adjudication as to . . . one or more affirmative defenses . . . if the party contends that . . . that there is no merit to an affirmative defense as to any cause of action. . . . A motion for summary adjudication shall be granted only if it completely disposes of . . . an affirmative defense . . . ." (Code Civ. Proc. [CCP], § 437c, subd. (f)(1).) The party moving for summary adjudication "bears the burden of persuasion that there is no triable issue of material fact and that the moving party is entitled to judgment as a matter of law." (*Aguilar v. Atlantic Richfield Co.* ["*Aguilar*"] (2001) 25 Cal.4th 826, 850; Code Civ. Proc. [CCP], § 437c, subd. (c).)<br><br>Here, the District moves for summary adjudication as to affirmative defenses #1-18 alleged in the answer filed by Defendants City of Los Angeles; Department of Water and Power of the City of Los Angeles; Board of Water and Power Commissioners of the City of Los Angeles; and Los Angeles City Council (collectively, the "City"). (ROA #209 [Mot.], pp. 2-8.)<br><br>In its opposition, the City withdraws its affirmative defenses #1, 10, and 18 as "unnecessary." (ROA #227 [Opp.], p. 25.) Accordingly, for the sake of clarifying the pleadings, the Court **GRANTS IN PART** the District's |

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| | | motion to strike and **STRIKES** the City's affirmative defenses #1, 10, and 18 from the City's answer (ROA #72) as "irrelevant" matter under CCP section 436, subdivision (a).<br><br>The District's motion for summary adjudication is primarily based upon the legal argument that "[u]nder Health & Safety Code Section 42316, the City's challenges to the reasonableness or validity of District Order 210701-06 (the '2021 District Order') must be brought by an administrative appeal to the California Air Resources Board ('CARB'), and then by a petition for writ of mandate to a Superior Court. Those challenges may not be raised in the first instance by an affirmative defense and litigated in this Superior Court." (Mot., p. 2; see also *id.* at p. 15.) In short, the District's argument is that the City may not now challenge the reasonableness or validity of the 2021 District Order because the City failed to exhaust its administrative remedies by appealing that order to CARB in the first instance. (See *id.* at p. 30, citing, inter alia, *Los Globos Corp. v. City of Los Angeles* (2017) 17 Cal.App.5th 627, 632.)<br><br>Health and Safety Code section 42316 ("Section 42316"), subdivision (a) provides, in relevant part, that the District "may require the City of Los Angeles to undertake reasonable measures . . . to mitigate the air quality impacts of its activities . . . ." Section 42316, subdivision (b) provides, in relevant part, that "the city may appeal any measures . . . imposed by the district to the state board within 30 days of the adoption of the measures . . . . The state board . . . shall conduct an independent hearing on the validity of the measures . . . which are the subject of the appeal."<br><br>"The rule of exhaustion of administrative remedies is well established in California jurisprudence. In brief, the rule is that where an administrative remedy is provided by statute, relief must be sought from the administrative body and this remedy exhausted before the courts will act. The rule is not a matter of judicial discretion, but is a fundamental rule of procedure binding on all courts. Exhaustion of administrative remedies is a jurisdictional prerequisite to resort to the courts." (*Los Globos*, *supra*, 17 Cal.App.5th at p. 632, internal quotes, brackets, ellipses, & citations omitted.)<br><br>"The exhaustion requirement also applies to defenses as well as to claims for affirmative relief." (*Coachella Valley Mosquito & Vector Control Dist. v. Cal. Public Employment Relations Bd.* (2005) 35 Cal.4th 1072, 1080; see also *South Coast Regional Com. v. Gordon* (1977) 18 Cal.3d 832 [rejecting argument that doctrine of exhaustion of administrative remedies does not apply simply because a defendant "attempts to raise by way of defense a matter which is initially committed to the commission's determination, and which he has not presented to that agency"; after all, if defendants "were allowed to resort to the courts in the first instance, it would not only frustrate one of the underlying purposes of the exhaustion doctrine, i.e., the need for judicial intervention might be obviated by the outcome of the administrative proceedings, but would also reward [persons] who made no attempt to fulfill the requirements of the act and the regulations, while penalizing those who made a good faith effort to comply"].) |

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| | | Here, it is undisputed that the 2021 District Order was adopted on July 1, 2021, and the City did not file an appeal of the 2021 District Order to CARB in accordance with Section 42316. (ROA #229 [City's Resp. to Dist.'s Separate St. of Undisputed Material Facts ("SSUMF")], ¶¶ 26-27.) Accordingly, the District has satisfied its initial burden of proving that the City failed to exhaust its administrative remedies such that the City may not now challenge the validity of the 2021 District Order.<br><br>The City's opposition does not rebut the District's argument regarding the City's failure to exhaust its administrative remedies as to the 2021 District Order. (See Opp., passim.) Instead, the City's opposition focuses on the District's "*alternative*" argument that "if the City seeks to litigate the Notice of Violation for the City's refusal to comply with the 2021 District Order, the City litigated and lost these arguments in its administrative appeal to CARB, and before the Los Angeles County Superior Court. The City cannot relitigate the Notice of Violation issues as affirmative defenses in this case." (Mot., pp. 2, 16, emphases added.) The City characterizes this alternative argument as one based on the principles of collateral estoppel, and the City argues that collateral estoppel does not apply to bar the City's affirmative defenses. (Opp. at pp. 15-19.) But these arguments do not address the District's primary argument regarding the City's failure to exhaust its administrative remedies by appealing the 2021 District order to CARB in the first instance.<br><br>At most, the City contends on pages 21-22 of its opposition that "District staff told the District Board and the City that there was no deadline for implementation of the 2021 Order (SSUF 65), and the District acted as if the 2021 Order was issued under Stipulated Judgment. (SSUF 70-71.) The City relied on both representations in deciding how to respond to the 2021 Order and seeking review through the Stipulated Judgment [in] the Sacramento Superior Court." (Opp. at pp. 21-22.) But the City does not articulate any argument or cite to any legal authorities to contend, for example, how these facts might excuse the City's failure to seek CARB's administrative review of the validity of the 2021 District Order. It is not the Court's function to "act as counsel for [a party] and furnish a legal argument' for that party. (*Niko v. Foreman* (2006) 144 Cal.App.4th 344, 368; see also *Badie v. Bank of America* (1998) 67 Cal.App.4th 779, 784-785 [when a party "fails to raise a point, or asserts it but fails to support it with reasoned argument and citations to authority," the point is "waived"]; *Sprague v. Equifax, Inc.* (1985) 166 Cal.App.3d 1012, 1050 [court is entitled to "the assistance of counsel. Accordingly every brief should contain a legal argument with citation of authorities on the points made. If none is furnished on a particular point, the court may treat it as waived, and pass it without consideration."].)<br><br>Accordingly, the City has failed to oppose or rebut the District's showing that the City failed to exhaust its administrative remedies such that the City may not now challenge the reasonableness or validity of the 2021 District Order.<br><br>The Court finds that the following affirmative defenses raised in the City's answer are aimed solely at challenging the validity of the 2021 District Order: |

- 2 - Collateral Estoppel
- 3 - Equitable Estoppel
- 4 - Order Facially Invalid
- 5 - Procedural Due Process – Invalid Order Due to Lack of Notice – U.S. Constitution, Fifth and Fourteenth Amendments; California Constitution Article 1, § 7
- 6 - Procedural Due Process – Invalid Order Due to Lack of Hearing – U.S. Constitution, Fifth and Fourteenth Amendments; California Constitution Article 1, § 7
- 7 - Ultra Vires
- 8 - District Order Void For Failure to Comply with the 2016 SIP and District Rule 433
- 9 - District Order Void for Failure to Obtain Concurrence from all of the Owens Lake Tribes
- 11 - Failure to Allege Facts Sufficient to State A Cause of Action

Therefore, the Court **GRANTS IN PART** the District's motion for summary adjudication as to affirmative defenses #2-9 and 11.

As to affirmative defenses #12-16, the Court finds that these affirmative defenses are not aimed at or not solely aimed at challenging the validity of the 2021 District Order, but instead, are aimed, at least in part, on challenging the amount of civil penalties to be assessed under Health and Safety Code section 42403. As the District acknowledges, "[t]his Motion is to strike these purported affirmative defenses to liability and not to address the penalty factors," and thus, the appropriate "penalty" amount is "not at issue in this Motion, which addresses the City's affirmative defenses to its strict liability, not the amount of its penalty." (ROA #240 [Reply], at p. 8.) Therefore, the District has failed to carry its burden of proving that there is no merit to affirmative defenses #12-16 such that the District is entitled to summary adjudication by completely disposing of these affirmative defenses. Accordingly, the Court **DENIES IN PART** the District's motion as to affirmative defenses #12-16.

Finally, as to affirmative defense #17 relating to the District's entitlement to an award of attorneys' fees in this action, the District's motion initially contends that this affirmative defense is "barred by the Stipulated Judgment against the City in Kern County Superior Court that bars the City from any challenge in any administrative or judicial forum under any law, statute, or legal theory whatsoever to the District's right to assess these attorney fees under Section 42316." (Mot. at p. 7; see also *id.* at p. 32, citing ROA #211, Exh. O [Kern Stip. Judg.].)

The Kern Stipulated Judgment states, in relevant part:

> B. The Parties agree that the following are properly included and legally valid as categories of 'fees' within the meaning of H&S Section 42316, and the City shall not challenge now or in the future the District's right to assess these types of fees to the City under Section 42316 in any administrative or judicial forum, under any

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| | | law, statute or legal theory whatsoever including H&S Section 42316:<br>. . .<br>(ii) The District's attorney fees and costs to respond the City's administrative comments, appeals, lawsuits and any other legal challenges related to H&S Section 42316, and to enforce District orders under H&S Section 42316, including the use of outside counsel of the District's sole choice and discretion.<br><br>(ROA #211, Exh. O at p. 4.)<br><br>In opposition, the City contends that the Kern Stipulated Judgment "did not provide any authority for this Court to award attorneys' fees to the District"; that the City has already paid various amounts of attorneys' fees to the District; and that the City's 17th affirmative defense is essentially aimed at "prevent[ing the District's] double recovery." (Opp. at p. 24.)<br><br>In reply, the District responds that it "seek[s] single recovery, not double recovery. The prayer for fees satisfies a procedural requirement should the Court award any additional attorney fees (*e.g.,* costs of proof or other reimbursement) not covered by the Kern County Superior Court Order." (Reply at p. 9.)<br><br>Thus, the District's reply argument contradicts its original argument that the City's 17th affirmative defense is barred by the Kern Stipulated Judgment, as the District acknowledges that it has prayed for fees "not covered by the Kern County Superior Court Order." (*Id.*) In short, the Kern Stipulated Judgment cannot bar anything it does not "cover." Therefore, the Court **DENIES IN PART** the District's motion as to affirmative defenses #17.<br><br>Moving party shall provide notice. |